

A fair share: on divisible pool of tax collections

Retaining the 41% share in the **divisible pool** for States **will** be **unjust**

The Sixteenth Finance Commission (SFC), whose recommendations on financial **devolution** will be valid from April 1, 2026, **faces** a **piquant** situation. Its chairman Arvind Panagariya had noted last week that **22** out of 28 States, including many ruled by the Bharatiya Janata Party (BJP), **had** asked for a larger share of the divisible pool of tax collections, from 41% to 50% — a **legitimate** demand. The Union government has effectively **shrunk** the divisible pool by **disproportionately** increasing its revenue through non-shareable **cesses** and **surcharges**, whose share of the Centre's gross tax revenue **soared** from 12.8% between 2015-16 to 2019-20 (pre-pandemic years) to 18.5% between 2020-21 and 2023-24 (Budget expenditure). Thus, the effective **share** of States in the Centre's gross tax revenues **averaged** close to 31% in the 2020-21 to 2023-24 period — it was 35% in the previous corresponding period. **Compounding** this is the post-GST reality, where limited **avenues** for States to raise their revenue, **make** them critically dependent on central transfers. While GST collections have been fairly good in recent years, this has still not **addressed** the issue of the reduced avenues for States to increase their revenue. Further, the existing **formula** for **horizontal devolution**, with a heavy **weightage** given to population and income distance, **is** seen by economically **progressive** States (the South), as a penalty for performance and responsible **governance**.

Keeping the **status quo** would **go against the grain** and the idea of cooperative **federalism** that the BJP-led government has **emphasised**. Mr. Panagariya also **remarked** that a sudden nine-point jump to 50% would "[**upset**] **too many carts**", indicating that the Centre would be **loath** to **lessen** its share because of rising expenditure on defence and other **capital-intensive** projects. This means that the Finance Commission would be less **inclined** to engage with States' demands, also explaining why it might keep the devolution share unchanged at 41%. Yet, doing so would be a missed opportunity to **forge** a new **federal compact**. A modest **increase** in the **vertical devolution**, **meeting** States' demands **half-way**, **would** be a welcome signal. The Finance Commission must also recommend a **mechanism** that will **rein in** the **arbitrary** use of cesses and surcharges, maybe even **capping** them at a fixed percentage of the gross tax revenue of the Centre and including any **surplus** collection in the divisible pool, as some have suggested. It must **fine-tune** the horizontal distribution criteria to create a more **equitable** balance between a State's needs, its area, and its performance. **Crafting** a formula that is **fiscally prudent** and one that **strengthens** the federal structure at its roots, the States, **is imperative**.

- **Half-way** (adverb) – to some extent. कुछ हद तक।
- **Craft** (verb) – to make objects, especially in a skilled way बनाना
- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

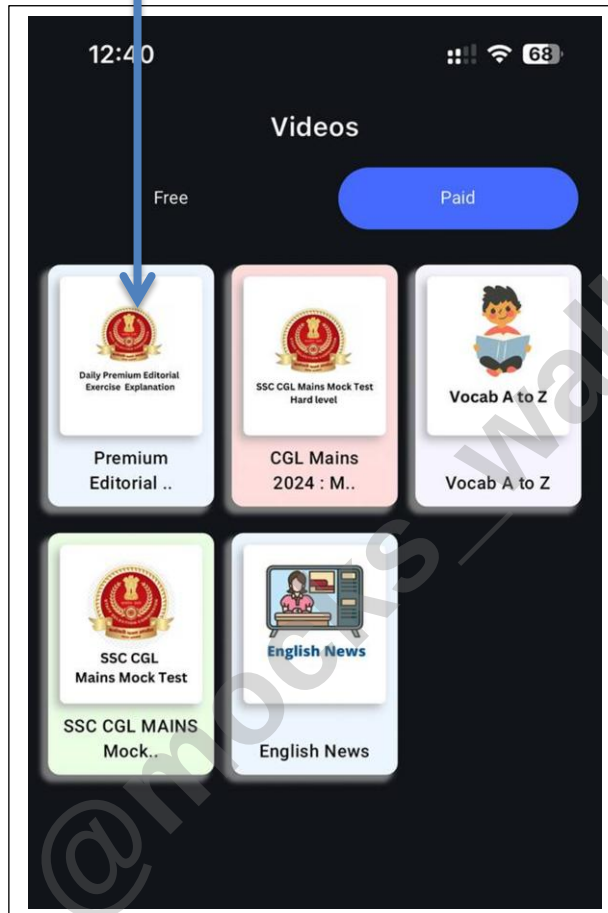
[Practice Exercise]

Vocabulary

1. **Divisible pool** (noun) – the portion of the total tax revenue collected by the central government that is shared with state governments विभाज्य पूल
2. **Unjust** (adjective) – unfair, biased, partial, unreasonable, inequitable अन्यायपूर्ण
3. **Devolution** (noun) – It refers to the distribution of the tax revenue collected between the central government and the state governments अधिकारों का विकेंद्रीकरण
4. **Piquant** (adjective) – tricky, challenging, delicate, provocative, complicated जटिल या संवेदनशील
5. **Legitimate** (adjective) – lawful, valid, justifiable, reasonable, rightful वैध
6. **Shrink** (verb) – reduce, decrease, lessen, diminish, contract घटाना
7. **Disproportionately** (adverb) – excessively, unevenly, inappropriately, irregularly, unreasonably असमान रूप से
8. **Cess** (noun) – tax, levy, duty, surcharge, toll उपकर / कर
9. **Surcharge** (noun) – additional charge, extra tax, levy, fee, premium अधिभार
10. **Soar** (verb) – rise, surge, escalate, climb, increase तेजी से बढ़ना
11. **Compound** (verb) – worsen, intensify, increase, magnify, heighten और बढ़ाना
12. **Avenue** (noun) – option, path, route, channel, opportunity विकल्प / मार्ग
13. **Address** (verb) – deal with, tackle, resolve, handle, confront समाधान करना
14. **Horizontal devolution** (noun) – the distribution of the "divisible pool" of tax revenue among the states वित्तीय वितरण
15. **Weightage** (noun) – importance, emphasis, consideration, value, priority महत्व
16. **Progressive** (adjective) – forward-thinking, reformist, advanced, liberal, modern प्रगतिशील
17. **Governance** (noun) – administration, management, control, leadership, rule प्रशासन
18. **Status quo** (noun) – existing state, current situation, present condition, unchanged order यथास्थिति
19. **Go against the grain** (phrase) – oppose norms, be contrary, resist naturally, go counter to अस्वाभाविक होना / विरोध करना
20. **Federalism** (noun) – decentralization, unionism, confederation, shared governance संघवाद

21. **Emphasise** (verb) – highlight, stress, underline, accentuate, assert ज़ोर देना
22. **Remark** (verb) – comment, state, note, observe, mention टिप्पणी करना
23. **Upset too many carts** (phrase) – to cause trouble, especially by spoiling someone's plans स्थिति अस्थिर कर देना
24. **Loath** (adjective) – reluctant, unwilling, disinclined, averse, resistant अनिच्छुक
25. **Lessen** (verb) – reduce, decrease, diminish, cut down, curtail कम करना
26. **Capital-intensive** (adjective) – costly, investment-heavy, resource-heavy, infrastructure-based पूंजी-प्रधान
27. **Incline** (verb) – lean, tend, prefer, be disposed, gravitate झुकना या प्रवृत्त होना
28. **Forge** (verb) – build, establish, create, form, construct बनाना
29. **Federal** (adjective) – national, constitutional, allied, centralised, union-based संघीय
30. **Compact** (noun) – agreement, deal, pact, treaty, arrangement समझौता
31. **Vertical devolution** (noun) – it refers to the sharing of tax revenue between the central government and the state governments.
32. **Meet** (verb) – fulfill, satisfy, comply with, address, respond to पूरा करना
33. **Mechanism** (noun) – system, process, method, structure, setup प्रक्रिया / तंत्र
34. **Rein in** (phrasal verb) – control, restrain, limit, restrict, curb नियंत्रण करना
35. **Arbitrary** (adjective) – random, whimsical, irrational, capricious, subjective मनमाना
36. **Cap** (verb) – limit, set a ceiling, restrict, control, constrain सीमा तय करना
37. **Surplus** (noun) – excess, extra, remainder, overflow, balance अधिशेष
38. **Fine-tune** (verb) – adjust, refine, calibrate, optimize, improve सूक्ष्म समायोजन करना
39. **Equitable** (adjective) – fair, just, impartial, balanced, reasonable न्यायसंगत
40. **Strengthen** (verb) – reinforce, support, boost, fortify, enhance मजबूत करना
41. **Imperative** (adjective) – essential, urgent, necessary, critical, vital अत्यावश्यक

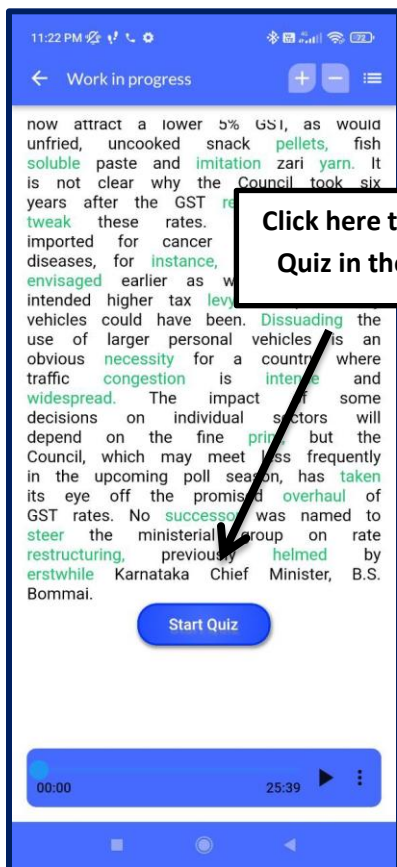
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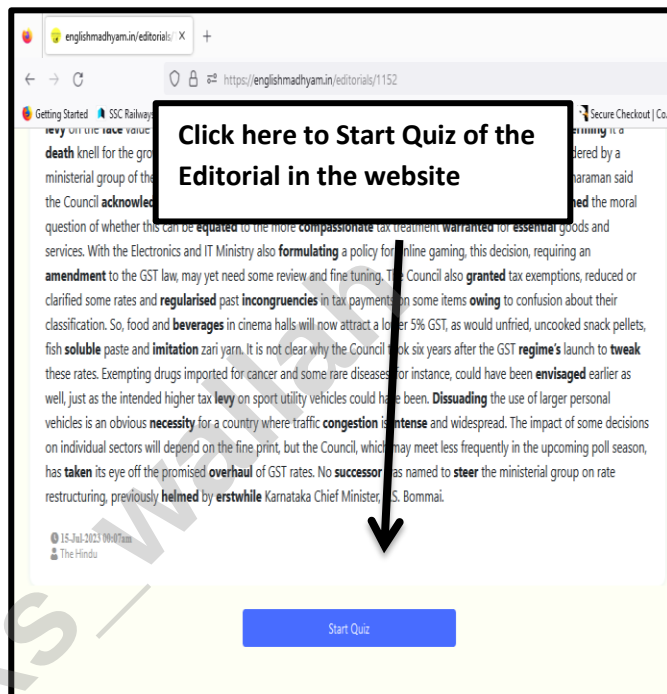
Summary of the Editorial

1. Sixteenth Finance Commission (SFC) will recommend financial devolution norms starting from April 1, 2026.
2. 22 out of 28 States, including many BJP-ruled ones, have demanded an increase in their share of the divisible tax pool from 41% to 50%.
3. This demand is termed legitimate, considering the shrinking actual share of States due to Centre's increased reliance on cesses and surcharges.
4. Between 2020-21 and 2023-24, the Centre's revenue from non-divisible cesses and surcharges rose to 18.5% from 12.8% in pre-pandemic years.
5. As a result, States' effective share in the Centre's gross tax revenues fell to about 31%, down from 35% previously.
6. Post-GST, States have fewer avenues to raise independent revenues and are heavily dependent on Central transfers.
7. Though GST collections have improved, the structural issue of revenue constraints for States remains unresolved.
8. The horizontal devolution formula, which gives weightage to population and income distance, is seen by better-performing southern States as unfair.
9. This formula penalises performance and responsible governance, undermining incentives for growth-oriented policies.
10. Retaining the 41% share would be against the spirit of cooperative federalism the BJP government itself promotes.
11. SFC chairman Arvind Panagariya remarked that a sudden jump to 50% may "upset too many carts", citing Centre's defence and capital spending needs.
12. The editorial argues that not increasing the share would be a missed opportunity to strengthen Centre-State fiscal relations.
13. A modest hike, meeting States halfway (e.g., 45%), would reflect fiscal balance and federal goodwill.
14. The Commission should also recommend a cap on cesses and surcharges, possibly integrating excess collections into the divisible pool.
15. Finally, the horizontal devolution criteria must be rebalanced to reflect both need and performance, ensuring fiscal equity and federal integrity.

Practice Exercise: Banking Pattern Based



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